

industry status. This will remove unwarranted restrictions and cost of funding and raising capital requirements for them, and help in creating financial services firms of global scale. This doesn't have any revenue implication for the exchequer.

Categories of income

The Income-tax Act has too many classifications of incomes arising out of capital market transactions. This creates a fungibility problem with respect to profits or losses incurred in different types of trades. For example, intra-day cash market trading is classified as speculative income but intra-day derivative trade is classified as business income. It is suggested to dispense with the concept of speculative income and income classification should be limited to, 1) business income; 2) long-term capital gains; and 3) short-term capital gains. It will ease income classification from the taxpayer's vantage. Together with day trading not being treated as speculative, it will give a fillip to investors and share brokers to engage wholeheartedly in share transactions.

Double taxation

As per the current tax regime, an investor putting his savings in equity investments suffers onerous double taxation. S/he bears Securities Transaction Tax (STT) at the transaction level and further pays tax on the capital gains. It may be noted that equity investors provide retail capital to the markets and are essential for the long-term growth of the economy. The government should take steps to incentivise this segment. It may be noted that this was indeed the case till 2008, and as of today, India is the only major economy that levies STT in cash market (apart from South Korea). Therefore, there is a strong case to

exempt long-term capital gains tax on the sale of equity and other securities, or alternatively, reduction of STT rates or rebate in STTs.

It is expected that such a move will improve retail participation in the markets, and the increased volumes may also increase the exchequer's revenue.

Tax exemption in STCG

At present, short-term capital gains arising on equity shares that have suffered STT are taxed a 15 per cent plus surcharge, without any tax exemptions like in the case of LTCG.

Since STCG arises after paying STT, it is desirable that STCG be also allowed a tax exemption of up to ₹1 lakh. The measure will likely improve market participation and also increase investments.

Carry forward business loss

As per income tax laws, carry forward loss from normal business can only be offset against income from business. However, there are several difficulties faced by the taxpayer under this section. The current year business loss can be offset against any head except salary, but in the case of carry-forward business loss, it can only be adjusted against business income. The taxpayer doesn't get the benefit from this provision in case of carry-forward business loss where there is no business income in subsequent years. Allowing carry-forward business loss to be adjusted against any head of income except salary in subsequent years, that is, a maximum of up to eight years, will result in the rationalisation of income, which is subject to payment of tax.

TDS on dividend

At present tax deducted at source (TDS) on dividend is not required to be deducted if dividend does not exceed ₹5,000 during the

financial year. However, this is limited to individual recipient shareholders only. For the sake of better management by investors, the government should consider applying this exemption across all residents and also consider raising the dividend threshold limit from ₹5,000 to ₹10,000 for payment of TDS.

Regulating NBFC financing

NBFC financing against securities (IPO and ESOP Financing, loan against shares) should be brought under the purview of Sebi as it is responsible for protecting the interests of investors in securities. This will level the playing field and bring risk control.

Tax treatment of PMS and AIF

With rising affluence, interest in products like Portfolio Management Services (PMS) and Alternative Investment Funds (AIF) is rising. However, even though these operate in a similar space as mutual funds (MF), they suffer from different tax structures. The management fees paid for management of PMS and AIF should be allowed as deduction from capital gains of PMS to make their tax structure on par with MF as an alternative investment avenue.

Also, Category 3 AIF income should be taxable in the hands of investors as pass-through like it is applicable in Category 2. AIF trusts should be exempt from tax and tax should be levied at the time of distribution and realisation. In the case of unitisation of investment by AIF, where NAV is declared, income should be taxable as capital gains on realisation based on holding period. **BT**

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